All investors want funds that provide good performance. And all funds seek to provide it. But despite overpowering evidence to the contrary, investors seem to believe that past performance is the precursor to future performance. Fund sponsors—good businessmen all—respond to investors' predispositions by exploiting a fund's past performance as if there were some link, however tenuous, between past and future returns.

The most blatant manifestation of this "past performance syndrome" is in mutual fund advertising, especially advertising that proclaims a fund #1, even as the small print reveals that the fund is first only in some limited group, of some limited size, over some limited period. Given the large number of these limited universes, literally hundreds of funds can lay claim to #1 status at any time. And when a particular fund inevitably regresses to the mean, it can be replaced in the advertising by another fund with #1 credentials offered by the same sponsor. If the sponsor operates many highly specialized aggressive funds, this option is always available.

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What is important about this issue is something that the sponsors must know but do not say: the chance that a #1 fund in, say, the *past* ten years will repeat as #1 in the *next* ten years is essentially zero. The skepticism of the investor who pays little heed to such claims will be well rewarded.